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Tianshan Aluminum | Asia Pacific

Preliminary 1H26 earnings better than expected excluding tax impact

Tianshan expects its 1H26 net profit to double to Rmb4.2bn: Excluding one-offs, recurring earnings grew 109% YoY to Rmb 4.1bn, helped by 1) higher aluminum prices, supported by tight supply overseas amid the conflict in the Middle East, and 2) better cost control. 1H26 earnings will reflect increases in the tax rate in Xinjiang, up to 15% to 25%, affecting ~Rmb700mn profit in 2Q26; excluding this, net profit in 2Q26 could reach Rmb2.6bn, better than our expectation.

Earnings should remain solid in 2H26: Aluminum prices corrected recently amid talk of potential rate hikes from the US and easing supply overseas. Increasing supply from capacity restarts in Middle East and gradual volume release from new capacities in Indonesia could continue to pressure aluminum prices. However, the aluminum industry remains in deficit this year, which we think should limit price downside in 2026. This, together with higher volume in the Xinjiang production base, implies solid earnings for Tianshan in 2H26.

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Tianshan Aluminum (002532.SZ, 002532 CS)

Greater China Materials | China

Stock Rating	Overweight
Industry View	Attractive
Price target	Rmb23.00
Up/downside to price target (%)	102
Shr price, close (Jul 3, 2026)	Rmb11.37
52-Week Range	Rmb21.88-8.32
Sh out, dil, curr (mn)	4,629
Mkt cap, curr (mn)	Rmb52,628.7
EV, curr (mn)	Rmb54,930.1
Avg daily trading value (mn)	Rmb926

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	1.0	2.1	2.3	2.3
EPS (Rmb)\$	1.1	2.0	2.3	2.3
Revenue, net (Rmb mn)	29,502.2	38,312.8	39,958.4	40,324.5
EBITDA (Rmb mn)	7,736.9	13,638.0	14,310.7	14,609.6
ModelWare net inc (Rmb mn)	4,817.8	9,829.6	10,427.0	10,693.6
P/E	15.4	5.3	5.0	4.9
P/BV	2.5	1.5	1.3	1.2
RNOA (%)	15.4	27.5	28.9	30.5
ROE (%)	18.0	33.2	30.4	27.3
EV/EBITDA	10.0	3.7	3.1	2.6
Div yld (%)	-	-	-	-
FCF yld ratio (%)**	8.8	19.7	22.8	23.7
Leverage (EOP) (%)	7.8	(6.7)	(21.0)	(32.7)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
\$ = Consensus data is provided by Refinitiv Estimates
** = Based on consensus methodology
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Valuation Methodology and Risks

Tianshan Aluminum (002532.SZ)

Base case, derived from residual income valuation model. We discount our earnings forecasts through 2037 and then normalize earnings. Key assumptions include a cost of equity of 8.6% (risk-free rate of 1.8%, risk premium of 7%, beta of 0.97), a long-term ROE of 15% and a steady-state growth rate of 4%.

Risks to Upside

- Better-than-expected demand
- Decreasing raw material and energy prices
- More plants in maintenance than expected

Risks to Downside

- Slowdown in global aluminum demand
- Rising raw material and energy prices
- Industry overcapacity

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Tianshan Aluminum (002532.SZ) - As of 07/04/26 GMT in CNY
Industry : Greater China Materials



Stock Rating History: 3/19/26 : O/A

Price Target History: 3/19/26 : 23.2; 4/13/26 : 23

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Greater China Materials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/03/2026)
Chris Jiang		
Anhui Honglu Steel Construction (002541.SZ)	U (12/16/2025)	Rmb18.30
CGN Mining Co Ltd (1164.HK)	O (01/18/2023)	HK\$2.59
Chengxin Lithium Group Co. Ltd. (002240.SZ)	E (12/16/2025)	Rmb42.10
GEM Co Ltd (002340.SZ)	U (04/20/2026)	Rmb6.69
Shenzhen Kedali Industry Co Ltd (002850.SZ)	O (08/21/2023)	Rmb226.16
Sinomine Resource Group Co Ltd (002738.SZ)	O (12/16/2025)	Rmb64.26
Yongxing Special Materials Technology (002756.SZ)	E (11/25/2022)	Rmb60.27
Zhejiang Huayou Cobalt Co Ltd (603799.SS)	O (10/08/2025)	Rmb46.76
Hannah Yang, CFA		
China Hongqiao Group (1378.HK)	O (09/15/2023)	HK\$20.88
Chuangxin Industries Holdings Ltd. (2788.HK)	O (03/19/2026)	HK\$15.48
Flat Glass Group Co Ltd (6865.HK)	O (07/30/2020)	HK\$6.51
Flat Glass Group Co Ltd (601865.SS)	O (07/30/2020)	Rmb10.19
MMG Ltd (1208.HK)	O (12/16/2024)	HK\$7.29
Shandong Pharmaceutical Glass Co. Ltd. (600529.SS)	U (04/20/2026)	Rmb18.66
Shenhua Coal and Power (000933.SZ)	O (09/02/2025)	Rmb22.06
Tianshan Aluminum (002532.SZ)	O (03/19/2026)	Rmb11.37
Xinyi Glass Holding Limited (0868.HK)	U (05/14/2024)	HK\$8.66
Zhongfu Shenying Carbon Fiber Co Ltd (688295.SS)	O (08/25/2023)	Rmb54.45
Rachel L Zhang		
Aluminum Corp. of China Ltd. (601600.SS)	O (11/30/2020)	Rmb8.33
Aluminum Corp. of China Ltd. (2600.HK)	O (11/30/2020)	HK\$7.70
Baoshan Iron & Steel (600019.SS)	O (01/16/2016)	Rmb5.59
Beijing New Building Materials (000786.SZ)	O (04/09/2024)	Rmb18.10
Beijing Oriental Yuhong Waterproof Techn (002271.SZ)	E (09/25/2024)	Rmb12.30
China Jushi (600176.SS)	O (12/22/2020)	Rmb70.90
China Lesso Group Holdings Ltd (2128.HK)	U (10/08/2025)	HK\$3.76
China Steel Corp. (2002.TW)	U (12/16/2025)	NT\$18.95

CMOC Group Ltd (3993.HK)	O (09/24/2019)	HK\$16.20
CMOC Group Ltd (603993.SS)	O (06/21/2024)	Rmb18.52
CNGR Advanced Material Co., Ltd. (300919.SZ)	E (01/12/2026)	Rmb41.95
CNGR Advanced Material Co., Ltd. (2579.HK)	O (01/12/2026)	HK\$25.48
FangDa Carbon New Material Co. Ltd. (600516.SS)	U (12/16/2024)	Rmb5.79
Ganfeng Lithium Co. Ltd. (002460.SZ)	O (04/20/2026)	Rmb62.97
Ganfeng Lithium Co. Ltd. (1772.HK)	O (12/16/2025)	HK\$49.70
Henan Liliang Diamond Co. Ltd (301071.SZ)	U (04/20/2026)	Rmb84.11
Jiangsu Dingsheng New Materials (603876.SS)	U (04/20/2026)	Rmb24.06
Jiangxi Copper (0358.HK)	O (10/08/2025)	HK\$31.72
Jiangxi Copper (600362.SS)	O (10/08/2025)	Rmb43.28
JL Mag Rare-Earth Co. Ltd (6680.HK)	O (04/23/2025)	HK\$19.30
JL Mag Rare-Earth Co. Ltd (300748.SZ)	O (04/23/2025)	Rmb34.25
Nine Dragons Paper (2689.HK)	E (01/04/2023)	HK\$7.25
Shandong Gold Mining Co. Ltd (600547.SS)	O (04/23/2025)	Rmb26.08
Shandong Gold Mining Co. Ltd (1787.HK)	O (12/12/2024)	HK\$19.68
Shandong Nanshan Aluminium Co. (600219.SS)	O (11/30/2020)	Rmb4.17
Tianqi Lithium Industries Inc. (9696.HK)	O (12/16/2025)	HK\$40.30
Tianqi Lithium Industries Inc. (002466.SZ)	O (04/20/2026)	Rmb58.66
Weixing New Building Materials (002372.SZ)	U (10/08/2025)	Rmb8.55
Zhaojin Mining Industry (1818.HK)	O (06/21/2024)	HK\$19.17
Zijin Gold International (2259.HK)	O (11/06/2025)	HK\$107.50
Zijin Mining Group (2899.HK)	O (11/06/2025)	HK\$30.72
Zijin Mining Group (601899.SS)	O (11/06/2025)	Rmb27.82

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.